AUDIT & ASSURANCE

Suggested Answers
March-April 2023

Answer to the Question# 1(a)

ISQM (both 1 and 2) which became effective from 15th December 2022, applies to ABC & Co., Chartered Accountants ('the firm' hereafter) as appropriate (as the firm provides audits of financial statements, assurance and related services engagements. As the firm must meet the requirements of ISQM , it should have a system in place which addresses each of the eight elements of ISQM-1 of which 'ethical requirements' is one.

(i) Relevant Ethical requirements for the firm

i. ISQM 1 requires a firm to establish policies and procedures to comply with relevant ethical requirements thus:
   - Communicate its independence requirements to staff, and
   - Identify and evaluate circumstances and relationships that create threats to independence, assessing the impact of such threats and applying safeguards or withdrawing from the engagement if appropriate.

ii. ISQM 1 requires a firm to maintain independence where required to do so by the following requirements:
   - Staff to notify the firm of circumstances and relationships that might create a threat to independence;
   - Staff to notify the firm of any breach
   - The firm to communicate such breaches to the engagement partner and other relevant staff; and
   - The engagement partner to advise the firm of action to be taken.

- If the firm is a member of network firm the principle of confidentiality may apply to the firm's network, other network firms or service providers, when they have access to client information obtained by the firm.

(ii) Resources

ISQM 1 requires the firm to ensure that:

i. It has sufficient personnel with the competence, capabilities and commitment to ethical principles to meet its overall quality management objectives;
ii. For each engagement an appropriate and competent engagement partner, especially when a new engagement partner has to take up audit of Oxygen Ltd. and team are assigned;
iii. Policies should therefore exist for the recruitment, training and development of staff. The firm should ensure compliance with ISAs and audit staff should have a good knowledge of accounting standards and local/national statutory accounting regulations;
iv. Given Oxygen Ltd. has introduced a new computerized system the firm should ensure that appropriate technological resources are obtained or developed, implemented, maintained, and used, to enable the performance of engagements such as would be required in case of Oxygen Ltd.
v. There should be procedures for ensuring that an audit team collectively has the appropriate level of technical knowledge for the audit engagement and includes individuals with experience of audits of a similar complexity, and an ability to apply professional judgment.

(iii) Monitoring and remediation process

This procedure should ensure that:

i. The firm is required to establish a monitoring process designed to provide it with reasonable assurance that its quality management system is relevant, adequate and operating effectively. This process should include inspecting, on a cyclical basis, at least one completed engagement for each engagement partner;
ii. Responsibility for the monitoring process should be given to a partner or other appropriate person with sufficient experience and authority. When monitoring reviews (also referred to as 'cold reviews') are carried out they should not be performed by those involved with the engagement or the engagement quality management review;

iii. The firm should evaluate the effect of any deficiencies found to determine if they do indicate a failing in the firm's quality management system;

iv. The firm should communicate such deficiencies to relevant personnel, together with appropriate remedial action such as:
   - Action in relation to individual engagements or employees;
   - Communication of findings to those responsible for training and professional development;
   - Changes to the firm's quality management system; and
   - Disciplinary action, especially against repeat offenders.

v. If the results of monitoring procedures indicate that an inappropriate report may have been issued, or procedures were omitted during the engagement, the firm should determine what further action is needed. This might include obtaining legal advice;

vi. The firm should produce an annual report for partners setting out:
   - The monitoring procedures performed;
   - The conclusions drawn; and
   - Any systematic deficiencies found and remedial action taken.

vii. The monitoring system should include procedures for dealing with complaints and allegations against the firm. These should include establishing channels through which employees can come forward without fear of reprisals.

Answer to the Question# 1(b) (i)

Policies and procedures for anti-money laundering programme

- T Hassan & Co should have established an anti-money laundering programme within the firm. As part of this programme, the firm should have a money laundering reporting officer (MLRO) with an appropriate level of experience and seniority.
- The audit firm should also have established internal reporting lines which should be followed to report any suspicions. T Hassan & Co (the 'firm') will probably have a standard form which should be used to report suspicions of money laundering to the MLRO.
- The typical content of an internal report on suspected money laundering may include the name of the suspect, the amounts potentially involved, and the reasons for the suspicions with supporting evidence if possible, and the whereabouts of the laundered cash. The firm's internal policies should have been set up to ensure that all pertinent information is captured in this standardized report.
- Any individual in the firm who has suspicions of money laundering activities is then required to disclose these suspicions to the MLRO. The report must be done as soon as possible as any non-disclosure or failure to report such suspicions will constitute an offence under the money laundering regulations.
- On receipt of the internal report, the MLRO must consider all the circumstances surrounding the suspicions of money laundering activities, document this process and decide whether to report the suspicions to the appropriate external authorities. The audit firm has a legal duty to report even though this may conflict with the auditor's duty of confidentiality.

Answer to the Question# 1(b) (ii)

In the case of ABC Limited, the circumstances which may be indicative of money laundering activities include the following:

Cash-intensive business

ABC Limited has a high level of cash-based sales (75%) and a high volume of individual sales reports. The nature of its business therefore creates a significant risk that illicit cash funds are being passed off as legitimate sales.

More specifically Mr Chowdhury's sale to a business associate for Tk.33,000 may be an example of the placement of illegal funds in order to legitimize them as genuine sales. The size of the transaction in a business selling cleaning products and the round sum amount may be additional grounds for suspicion in relation to this transaction.

International property transactions

The performance of Mr Chowdhury's personal taxation computation has identified a significant number of transactions involving the purchase and sale of properties in international locations. These transactions may be examples of real estate laundering by Mr Chowdhury in his personal affairs. It is possible that he may be purchasing these properties with illegal funds ('placement') and then selling them in order to make funds appear legitimate ('integration').

A high volume of such transactions may also be indicative of the 'layering' of transactions in an attempt to make the original source of the funds more difficult to trace.

Answer to the Question# 1(b) (iii)

Company tax computation

The performance of the company tax computation creates a self-review threat. As a result, there is a risk that the auditor may not be sufficiently objective in performing the audit and may fail to identify any shortcomings in their own work. In this case, therefore, a self-review threat to auditor independence arises because the tax calculation forms the basis of the tax payable and the tax charge in the financial statements, and as such, the audit team may be more likely to accept the tax calculations without adequate testing.

There is also a potential advocacy threat. An advocacy threat arises when the auditor is asked to promote or represent their client in some way. In this situation, there may be a risk of the auditor being seen to promote the interests of ABC Limited with a third party such as the tax authorities, and therefore that the auditor will be biased in favor of the client and may not be fully objective.

While completing tax returns does not generally create a threat of management involvement by the auditor, as completing the tax return may not involve the auditor making any judgements as long as management takes responsibility for the returns, including any judgements which have been made, the threat to objectivity is not likely to be significant.

Where tax calculations have been prepared by the auditor for the purpose of preparing accounting entries, the Code of Ethics for Professional Accountants and the IFAC Ethical Standard state that this may be acceptable for an unlisted audit client and that the firm should consider implementing safeguards in order to reduce the self-review threat to an acceptable level. In this case, these safeguards might have included, for example, using professionals who are not members of the audit team to prepare the tax computations. The tax services should be reviewed by an independent tax partner, or other senior tax employee.

Given that ABC Limited is an unlisted client, T Hassan & Co should ascertain which members of staff performed the taxation services and should review whether the threat to independence has been adequately assessed before the taxation services were performed and whether adequate safeguards have been applied.

Mr Chowdhury's personal tax computation

From an ethical perspective, there is no prohibition in the Code or the IFAC Ethical Standard on the preparation of personal tax returns for the directors of an audit client such as ABC Limited. However, in this case the auditor should consider whether the preparation of Mr Chowdhury's personal tax return may result in the auditor being associated with criminal activities if the suspicions of money laundering activities noted above prove to be well founded.

The auditor should also consider the appropriateness of personal taxation services being billed to the company. Indeed, the preparation of Mr Chowdhury's personal tax return may be a taxable benefit which should be included in his tax return and the fee for this service may need to be reflected in his director's loan account with the company.

Website and online sales system

According to the Code of Professional Ethics, providing services to an audit client involving the design or implementation of IT systems which form a significant part of the internal control over financial reporting or generate information which is significant to the accounting records or financial statements on which the firm will express an opinion constitutes a self-review threat.

In this case, the self-review threat arises as the new website and online systems will produce data which will be used directly in the preparation of the ABC Limited's financial statements. The audit process will therefore include reviewing and testing of financial data and systems which T Hassan & Co has helped to design and implement. As a result, there is a clear risk that the audit team may too readily place reliance on these systems.

With reference to ABC Limited therefore, it is clear that providing assistance with the design and implementation of the website and online sales system will constitute a self- review threat as the auditor will audit assets and sales figures which are generated by the system.

There is also a risk that the firm may assume a management responsibility if they become involved in making management decisions. In the case of revenue, this self- review threat may be heightened further by the auditor's reliance on controls testing and on analytical review of the data summaries generated by the new system.

It also seems clear that the new online sales system will be significant to the client's financial statements and records. Such a self-review threat may be too significant even for an unlisted client such as ABC Limited unless appropriate safeguards are put in place.

Possible safeguards which might assist in managing the threats may include the following:

- The client should acknowledge its responsibility for establishing and monitoring the system of internal controls and for the operating system and data it generates
- The respective responsibilities of the audit firm and the client should be clearly defined in a separate engagement letter in order to ensure that the client makes all management decisions in relation to the design and implementation process
- T Hassan & Co should use a separate team made up of non-audit staff to perform the systems design and implementation assignment and the work performed by this team should be subject to independent professional review.

If the self-review threat cannot be reduced to an acceptable level, or the engagement will result in the firm assuming a management responsibility, the service should not be provided.

Answer to the Question# 1(c)

Identified Principal ethical issues are:

- Conflicts of interest
- Confidentiality
- East and West may perceive a threat in respect of disclosure/use of information

Procedures to address

- Procedures to ensure staff are aware of confidentiality issues and such issues have been brought to attention of staff
- Staff to certify awareness of these procedures
- Obtain informed consent of clients
- Use of different partners and teams
- Independent review of arrangements for ensuring confidentiality maintained

Answer to the Question# 1(d)

The circular so indicated in the question defines the Public Interest Entity (PIE) as under:

(i) The entity that had last annual revenue to the extent of Tk.5 crore

To fulfill few other sub-sections, the same circular also covers other determinants as under:

(i) The total asset of the entity is amounting to Tk.3 crore
(ii) The total liabilities less owners' equity amount to Tk.1 crore.

Answer to the Question# 2(a)

(a)Matters that should be considered in by Ahmed & Co. making acceptance decision Objectivity

The proposed assurance engagement represents a non-audit service. IESBA's International Code of Ethics for Professional Accountants does not prohibit the provision of additional assurance services to an audit client. However, the audit firm must carefully consider whether the provision of the additional service creates a threat to objectivity and independence of the firm or members of the audit team.

For example, when the total fees generated by a client represent a large proportion of a firm's total fees, the perceived dependence on the client for fee income creates a self-interest threat. Due to the nature of the proposed engagement, self-review and advocacy threats may also be created, as the Sustainability Report is published with the audited financial statements, and the audit firm could be perceived to be promoting the interests of its client by providing an assurance report on the key performance indicators (KPIs).

Ahmed & Co should only accept the invitation to provide the assurance engagement after careful consideration of objectivity, and a review as to whether safeguards can reduce any threat to objectivity to an acceptable level. As Federal Express Ltd. is a 'major client', the fee level from providing both the audit and the assurance services could breach the permitted level of recurring fees allowed from one client. The fact that General Express is listed means that the assessment of objectivity is particularly important and a second partner review of the objectivity of the situation may be considered necessary.

Federal Express Ltd.'s requirements

Assurance engagements can vary in terms of the level of work that is expected, and the level of assurance that is required. This will clearly impact on the scale of the assignment. For example, Federal Express Ltd. may require specific procedures to be performed on certain KPIs to provide a high level of assurance, whereas a lower level of assurance may be acceptable for other KPIs.

Newman & Co should also clarify the expected form tlnd content tlnd expected wording of the assurance report itself, and whether any specific third party will be using the Sustainability Report for a particular purpose, as this may create risk exposure for the firm.

Competence

The audit firm's specialist social and environmental assurance department has only been recently established, and the firm may not have sufficient experienced staff to perform the assurance engagement. The fundamental principle of professional competence and due care requires that members of an engagement team should possess sufficient skill and knowledge to be able to perform the assignment, and be able to apply their skill and knowledge appropriately in the circumstances of the engagement.

Some of Federal Express Ltd.'s KPIs appear quite specialised - verification of CO2 emissions for example, may require specialist knowledge and expertise. Ahmed & Co could bring in experts to perform this work, if necessary, but this would have cost implications and would reduce the recoverability of the assignment.

Scale of the engagement

The Sustainability Report contains 75 KPIs, and presumably a lot of written content in addition. All of these KPIs will need to be verified, and the written content of the report reviewed for accuracy and consistency, meaning that this is a relatively large engagement.

Ahmed & Co should consider whether the newly established sustainability reporting assurance team has enough resources to perform the engagement within the required time scale, bearing in mind the time pressure which is further discussed below.

Time pressure

Given that the financial statements are scheduled to be published in four weeks, it is doubtful whether the assurance assignment could be completed, and a report issued, in time for it to be included in the annual report, particularly given the global nature of the assignment.

Ahmed & Co may wish to clarify with Federal Express Ltd.'s management whether they intend to publish the assurance report within the annual report, as they have done previously, or whether a separate report will be issued at a later point in time, which would allow more time for the assurance engagement to be conducted.

Fee level and profitability

Such a potentially large-scale assignment should attract a large fee. Costs will have to be carefully managed to ensure the profitability of the engagement, especially considering that overseas travel will be involved, as presumably much of the field work will be performed at Federal Express Ltd.'s Sustainability Department in Fartown.

The fee level would need to be negotiated bearing in mind the specialist nature of the work, and the urgency of the assignment, both of which mean that a high fee could be commanded.

Global engagement

The firm's sustainability reporting team is situated in a different country to Federal Express Ltd.'s Sustainability Department. Although this does not on its own mean that the assignment should not be taken on, it makes the assignment logistically difficult.

Members of the assurance department must be willing to travel overseas to conduct at least some of their work, as it would be difficult to perform the engagement without visiting the department responsible for providing the KPIs. Other locations may also need to be visited. There are also cost implications of the travel, which will need to be built into the proposed fee for the engagement. Language may also present a barrier to accepting the engagement, depending on the language used in Fartown's location.

Risk

Federal Express Ltd. is a large company with a global presence. It is listed on several stock exchanges, and so it appears to have a high public profile. In addition, pressure groups are keen to see the added credibility of an assurance report issued in relation to the KPIs disclosed. For all of these reasons, there will be scrutiny of the Sustainability Report and the assurance report.

Ahmed & Co should bear in mind that this creates a risk exposure for the firm. If the assignment were taken, the firm would have to carefully manage this risk exposure through thorough planning of the engagement and applying strong quality measures.

The firm would also need to ensure that the fee is commensurate with the level of risk exposure. Given the inconsistency that has come to light regarding one of the draft KPIs, which appears to overstate charitable donations made by the company, we may need to consider that management are trying to show the company's KPIs in a favourable way, which adds to the risk of the engagement.

Commercial consideration

If Ahmed & Co does not accept the assurance engagement, the firm risks losing the audit client in future years to another firm that would be willing to provide both services. As Federal Express Ltd. is a prestigious client, this commercial consideration will be important, but should not override any ethical considerations.

Answer to the Question# 2(b) (i)

In an ideal situation, once an engagement is accepted, the audit firm should carry on doing whatever is necessary towards successful completion of the engagement. However, if it is sensed that successful completion is unlikely and if at all done forming a credible opinion might not be possible due to potential intimidating environment, the auditor may prefer withdrawing from the engagement. In that case following steps may be necessary:

- Holding clear discussion amongst partners of the firm bringing on table all necessary points underlying such hard decision
- If suitable, putting a note with the ICAB.
- Communicating the logic behind the decision of withdrawal with those charged with the governance. While communicating, necessary reference of technical standards, ethical codes and other regulatory directives may be offered for their clear understanding.
- If felt appropriate, taking a legal advice on the matter.
- Returning all evidence collected so far to the client, if left in original copy with the firm
- Last, but not the least, withdrawing regulatory notice (Form-23B) given to the Registrar of Joint Stock Companies and Firms

Answer to the Question# 2(b) (ii)

IESBA Codes of Ethics offer appropriate ethical guidance to its members across the globe. Similarly, there has been list of guidance applicable to a firm/professional accountant contemplating to accept a new engagement. The guidance items are:

- Determine whether acceptance would create any threat to compliance with the fundamental principles.
- Determine potential threats to integrity and professional behavior due to the predominant influential attitude of the owners, management etc.
- Review if the client has/had involvement in illegal activities.
- Evaluate the magnitude of the threats and apply suitable safeguard. If the threats are unlikely to be eliminated or reduced to an acceptable level, it is better declining to enter the relationship.
- Periodically review acceptance decisions of recurring client engagements
- Accept only those engagements which professional accountant in practice is competent to perform.
- Evaluate the significance of the threats and apply suitable safeguard to eliminate them or reduce to an acceptable level. Safeguards may include:
  - Acquiring sufficient knowledge of the industries and related activities.
  - Deploying adequate staff with due competencies
  - Using expert services wherever necessary
- In case of replacing or tendering for an engagement currently held by a professional accountant in public practice:
  - Determine if there is any reason for not accepting this offer.
  - Communicate directly to the existing accountant.

- While communicating existing accountant the professional accountant in practice needs client's permission to do so.

Answer to the Question# 3(a) (i)

Going concern matters

Revenue and profitability

The extract financial statements show that revenue has fallen by 38.2%. Based on the information provided, operating profit was Tk.1,150,000 in 2021 but is only Tk.340,000 in 2022. Operating margins have fallen from 29.1% to 13.9% during the year and the fall in revenue and margin has caused the company to become loss-making this year.

These changes are highly significant and most likely due to the economic recession which will impact particularly on the sale of luxury, non-essential products such as those sold by KINGS Ltd. The loss-making position does not in itself mean that the company is not a going concern, however, the trend is extremely worrying and if the company does not return to profit in the 2023 financial year, then this would be a major concern. Few companies can sustain many consecutive loss-making periods.

Bank loan

The bank loan is significant, amounting to 33.7% of total assets this year end, and it has increased by Tk.500,000 during the year. The company appears to be supporting operations using long-term finance, which may be strategically unsound. The loan is secured on the company's properties, so if the company defaults on the payment due in June 2023, the bank has the right to seize the assets in order to recoup their funds. If this were to happen, KINGS Ltd would be left without operational facilities and it is difficult to see how the company could survive. There is also a risk that there is insufficient cash to meet interest payments due on the loan.

Trade payables

The trade payables balance has increased by 38.5%, probably due in part to the change in terms of trade with its major supplier of raw materials. An extension to the payable payment period indicates that the company is struggling to manage its operating cycle, with the cash being generated from sales being insufficient to meet working capital requirements. Relations with suppliers could be damaged if KINGS Ltd cannot make payments to them within agreed credit terms, with the result that suppliers could stop supplying the company or withdraw credit which would severely damage the company's operations. There is also a risk that suppliers could bring legal action against the company in an attempt to recover the amounts owed.

Borrowing facility

KINGS Ltd has Tk.500,000 available in an undrawn borrowing facility, which does provide a buffer as there is a source of cash which is available, somewhat easing the going concern pressures which the company is facing. However, the availability of the borrowing facility depends on certain covenants being maintained. The calculations below show that the covenants have now been breached, so the bank is within its right to withdraw the facility, leaving KINGS Ltd exposed to cash shortages and possibly unable to make payments as they fall due.

	Covenant	2022	2021
Interest cover	2	340/520 = 0.65	1,150/500 = 2.3
Borrowings to operating profit	4:1	3,500/340 = 10.3:1	3,000/1,150 = 2.6:1

Contingent liability

The letter of support offered to a supplier of raw materials exposes KINGS Ltd to a possible cash outflow of Tk.120,000, the timing of which cannot be predicted. Given the company's precarious trading position and lack of cash, satisfying the terms of the letter would result in the company utilising 80% of their current cash reserve - providing such support seems unwise, though it may have been done for a strategic reason, i.e. to secure the supply of a particular ingredient. If the financial support is called upon, it is not certain that KINGS Ltd would have the means to make the cash available to its supplier, which may create going concern issues for that company and would affect the supply of cane sugar to KINGS Ltd. There may also be legal implications for KINGS Ltd if the cash could not be made available if or when requested by the supplier.

Answer to the Question# 3(a) (ii)

Audit procedures in relation to going concern matters identified

- Obtain and review management accounts for the period after the reporting date and any interim financial accounts which have been prepared. Perform analytical review to ascertain the trends in profitability and cash flows since the year end.
- Review the minutes of the meetings of shareholders, those charged with governance and relevant committees for reference to trading and financing difficulties. Additional focus should be given on the letter of support and authorization of its issuance.
- Discuss with management the strategy which is being developed to halt the trend in declining sales and evaluate the reasonableness of the strategy in light of the economic recession and auditor's knowledge of the business.
- Review the company's current order book and assess the level of future turnover required to break-even/make a profit.
- Analyse and discuss the cash flow, profit and other relevant forecasts with management and review assumptions to ensure they are in line with management's strategy and auditor's knowledge of the business.
- Perform sensitivity analysis on the forecast financial information to evaluate the impact of changes in key variables such as interest rates, predictions of sales patterns and the timing of cash receipts from customers.
- Calculate the average payment period for trade payables and consider whether any increase is due to lack of cash or changes in the terms of trade.
- Obtain the contract in relation to the borrowing facility to confirm the covenant measures and to see if any further covenants are included in the agreement.
- Review correspondence with the bank in relation to the loan and the borrowing facility to gauge the bank's level of support for KINGS Ltd and for evidence of deteriorating relationships between the bank and the company's management.
- Obtain the bank loan agreement to confirm the amount of the loan, the interest rate and repayment dates and whether the charge over assets is specific or general in nature.
- Review the bank loan agreement for any clauses or covenants to determine whether there are any breaches.
- Obtain the letter of support in relation to the supplier to confirm the conditions under which KINGS Ltd would become liable for payment of the Tk.120,000.
- Discuss with management the reason for the letter of support being given to the supplier to understand the business rationale and its implications, including why the supplier approached KINGS Ltd for the letter of support.
- Obtain any further documentation available in relation to the letter of support, for example, legal documentation and correspondence with the supplier, to confirm the extent of KINGS Ltd's involvement with the supplier and that no further amounts could become payable.

Answer to the Question# 3(b)

Areas of risk to consider by an auditor in the given scenario include:

a. Foreign exchange risk

The purchases from UK are charged to the Bangladeshi entity in pound sterling while the purchases from China are charged to the Bangladeshi company in American dollars. There seems to be no measures in place to manage the risk of foreign exchange conversion. The treatment of forex gains or losses in the financial statements may result in material misstatements depending on the volume of transactions;

b. Lack of segregation of activities

Activities are over-concentrated on the Chairman. All activities are either undertaken by the chairman personally or solely approved by him;

c. Financial statement risk (over/under statements)
Balances such as bank and accounts payable are likely to be misstated as substantial parts of the company's banking transactions and trade payables were routed through the Chairman's personal bank account rather than the company's records. Proper bank reconciliation exercise cannot be conducted under the circumstance;

d. Risk of overstatement of Bangladesh operating expenses
The costs during the period the chairman spent to oversee the UK company are all borne by the Bangladeshi company. UK procurement expenses being channeled to the Bangladeshi company will result in the overstatement of the Bangladeshi company expenses;

e. Risk of understatement of UK expenses
There is the risk of understatement of UK expenses especially as it relates to bank charges on foreign procurements as those charges will mostly reflect in the Chairman's personal account. The UK expenses charged to the Bangladeshi company will understate UK expenses;

f. Risk of understatement of Bangladesh expenses
Expenses especially as it relates to bank charges on foreign procurements as those charges will mostly reflect in the Chairman's personal account rather than the company's records;
Separate records of travel expenses of chairman were not kept.

g. Lack of adherence to entity concepts
The company is not being treated as an entity that is separate from its owner. Money being transferred to the Chairman's account for the UK company's purchases, the Chinese purchases and the chairman's personal expenses could lead to overstatements of expenses.

h. Possible money laundering activities by the Chairman
Money is transferred to the Chairman's account for the UK company's purchases, the Chinese purchases and the chairman's personal expenses. These could lead to possible money laundering activities;

i. Corporate governance risk
There is a risk that good corporate governance practices are not followed which may lead to the failure of the organization. There is absolute power and authority vested in the Chairman. There is no mention of the existence of Internal Audit function to vet or review the transactions undertaken by the chairman;

j. Risk of understatement of UK company's activities
Incomplete records of the UK company's transactions will result in the understatement of the UK company's liabilities and purchases as procurements and accounts payable transactions are charged to the Bangladeshi company;

k. Risk of misallocation of costs
There is wrong costing method resulting from the allocation of costs. This method favors the UK company to the detriment of its Bangladeshi counterpart;

l. Exchange translation risk
Sub optimal results due to the arbitrary determination of costing method and estimates such as the charging of the UK procurements to the Bangladeshi company at cost plus 25% while the purchases from China are transferred to the Bangladeshi company at expected cost of landing plus 30%;

m. Incomplete recording
Audit risk arising from Incomplete and inaccurate recording of transactions and poor audit trail. Sufficient appropriate audit evidence is lacking in this environment, which increases audit risk as the auditors are likely to express inappropriate opinion due to the fact that the financial statements may be materially misstated in either or both companies;

n. Consolidation issues
The Bangladeshi audit firm that is putting together the financial statements would be relying on the objectivity of the UK audit firm; and

o. Risk of different basis of measurement
Proper business valuation for the purpose of ascertaining net worth could be impaired due to the different measurement scenarios in the conduct of business and measurement of the different units. This portends a financial statement risk.

Answer to the Question# 4(a)

Potential audit risks and matters need to be discussed:

Audit risks	Matters to discuss
Manufacturing company • Inventories may be materially misstated due to difficulties in estimating the degree of completion of work in progress (WIP). •	• The methods used by the company to determine the stage of completion and valuation of WIP.
Overseas customers • Sales in foreign currencies may not be translated at an appropriate rate, resulting in revenue and receivables being misstated in the financial statements.	• The rate used to translate transactions on foreign currencies. • The procedures adopted to ensure compliance with accounting standards.
Bad debts • There may be insufficient provision made for bad debts as a result of increased difficulties in assessing credit worthiness and recover ability for overseas customers.	• The techniques used to assess credit worthiness of customers, particularly those based overseas. • Method used to monitor and chase slow payers. • Whether there are any known bad or doubtful debts. • The reasons for any seasonal variations within the company's sales. • The methods of managing cash flow and working capital to address the impact of seasonal variations.
Revenue growth • Revenue may be overstated. The increased volume of sales may increase the. extent of errors arising within the accounting records.	• The reasons for the increase in revenue this period. • Whether any noticeable increase in error rates within the accounting records has occurred.
Gross profit increase • Gross profit may be overstated as a result of items in transit to overseas customers being included in both year-end inventories and revenue purchases being understated.	• The reasons for the increase this period. • Procedures used to ensure that transactions just before or after the year end are recorded in the correct accounting period. • How adequate provision is made for purchases, particularly those invoiced post year end.

Operating profit increase	
• Operating expenses may be understated due to recording being incomplete and the client failing to fully accrue for such expenses.	• The procedures for ensuring the completeness of recording expenditure. • The methods used for identifying and making adequate provision for accruals
New computer system	
• Modifications to the new computer software may reduce its reliability. This, together with the relative unfamiliarity of client staff with the new system, will increase the risk of errors arising. • Misstatements may increase as a result of information being lost or incorrectly transferred from the old to new systems. •	• The extent and nature of any problems being experienced with the new system. • The extent of training and system support given to staff operating the new system. • The criteria used to choose the new system and the reason for the change. • The procedures used to ensure that all accounting information was correctly transferred from old to new systems. • The type of changeover which was used eg parallel running, stepped changeover direct changeover.
Bonus scheme	
• The scheme provides an incentive for directors to overstate income and understate expenditure.	• The nature of any conditions attached to the bonus. • The effect on profits since the introduction of the scheme. • The anticipated level of bonus payable this period.
Disclosure	
• The audited accounts may fail to properly disclose such bonuses within directors' emoluments. • Similarly, failure to properly include such bonuses may result in current liabilities being understated.	• The proposed treatment and disclosure of the directors' bonuses within the financial statements. • Whether the directors are aware of the auditors' legal duty to make good any disclosure lapses in this area in the audit report.

Answer to the Question# 4(b) (i)

Notes for a planning meeting

Circumstances	Why taken into account
• Multiple business locations.	• Increases inherent risk (eg if the organisational structure is loose and difficult to manage).
• Intense price competition.	• May lead to uneconomic price discounting, possibly threatening viability of business. • In addition cash sales may rise due to presence of mini markets leading to rise in the inherent risk of material misstatements in the FS.
• Recent expansion of outlets into minimarkets.	• Increases complexity of business and may lead to loss of management control.
• Perishable nature and limited shelf-life of food and drinks inventories.	• Increase risk of overstatement of inventory values.
• Large volume of cash transactions.	• Increases risk of incomplete income recording.

• Nature of the business (garage environment).	• Increases risk of loss of inventories and cash due to theft or staff pilferage. • May limit effectiveness of physical security controls (eg over access to terminals).
• Recent introduction of sales of National Lottery tickets.	• Increases inherent risk (eg the risk of loss to midget Ltd if incorrect amounts are paid out on winning tickets).
• Direct input via PC at branches.	• Increases risk of misstatement, as batch controls will not be feasible and scope for other input controls may be limited.
• Small number of staff at each location (eg one or two).	• Limits scope for segregation of duties within branches and therefore increases control risk.
• Branch-based nature of business.	• Limits effectiveness of management control over activities of individual branches thereby increasing control risk.

Answer to the Question# 4(b) (ii)

Effect of work of internal auditor on audit planning

(i) The internal auditor's identification and documentation of areas of weakness will give direction to areas requiring increased substantive procedures.

(ii) Work of the internal auditor may assist in selection of branches for audit visits, (eg where control failures have occurred).

(iii) The internal auditor may attend year end inventory counts at one or more branches, potentially reducing the number of branches to be visited by us.

(iv) Work performed by the internal auditor may provide evidence to confirm operation of control procedures, on which we may seek to rely to reduce the extent of our own procedures.

(v) Documentation of systems and controls by the internal auditor, including changes due to the National Lottery, may reduce extent of our planning visits, as walkthrough checks may be sufficient to confirm systems documentation.

Answer to the Question# 5(a) (i)

ISA 260 (revised) prescribes certain matters to be communicated to those charged with governance. Those matters are described below:

The Auditor's Responsibilities in Relation to the Financial Statement Audit

The auditor shall communicate with those charged with governance the responsibilities of the auditor in relation to the financial statement audit, including that:

(a) The auditor is responsible for forming and expressing an opinion on the financial statements that have been prepared by management with the oversight of those charged with governance; and

(b) The audit of the financial statements does not relieve management or those charged with governance of their responsibilities.

Planned Scope and Timing of the Audit

The auditor shall communicate with those charged with governance an overview of the planned scope and timing of the audit, which includes communicating about the significant risks identified by the auditor.

Significant Findings from the Audit

The auditor shall communicate with those charged with governance:

(a) The auditor's views about significant qualitative aspects of the entity's accounting practices, including accounting policies, accounting estimates and financial statement disclosures. When applicable, the auditor shall explain to those charged with governance why the auditor considers a significant accounting practice, that is acceptable under the applicable financial reporting framework, not to be most appropriate to the particular circumstances of the entity;

(b) Significant difficulties, if any, encountered during the audit;

(c) Unless all of those charged with governance are involved in managing the entity: (i) Significant matters arising during the audit that were discussed, or subject to correspondence, with management; and (ii) Written representations the auditor is requesting;

(d) Circumstances that affect the form and content of the auditor's report, if any; and

(e) Any other significant matters arising during the audit that, in the auditor's professional judgment, are relevant to the oversight of the financial reporting process.

Auditor Independence

In the case of listed entities, the auditor shall communicate with those charged with governance:

A statement that the engagement team and others in the firm as appropriate, the firm and, when applicable, network firms have complied with relevant ethical requirements regarding independence; and

(i) All relationships and other matters between the firm, network firms, and the entity that, in the auditor's professional judgment, may reasonably be thought to bear on independence. This shall include total fees charged during the period covered by the financial statements for audit and non-audit services provided by the firm and network firms to the entity and components controlled by the entity. These fees shall be allocated to categories that are appropriate to assist those charged with governance in assessing the effect of services on the independence of the auditor; and

(ii) (ii) The related safeguards that have been applied to eliminate identified threats to independence or reduce them to an acceptable level.

Answer to the Question# 5(a) (ii)

The communication processes as prescribed are briefly discussed below:

Establishing the Communication Process

The auditor shall communicate with those charged with governance the form, timing and expected general content of communications.

Forms of Communication

The auditor shall communicate in writing with those charged with governance regarding significant findings from the audit if, in the auditor's professional judgment, oral communication would not be adequate. Written communications need not include all matters that arose during the course of the audit.

The auditor shall communicate in writing with those charged with governance regarding auditor independence when required.

Timing of Communications

The auditor shall communicate with those charged with governance on a timely basis.

Adequacy of the Communication Process

The auditor shall evaluate whether the two-way communication between the auditor and those charged with governance has been adequate for the purpose of the audit. If it has not, the auditor shall evaluate the effect, if any, on the auditor's assessment of the risks of material misstatement and ability to obtain sufficient appropriate audit evidence and shall take appropriate action.

Documentation

Where matters required by this ISA to be communicated are communicated orally, the auditor shall include them in the audit documentation, and when and to whom they were communicated. Where matters have been communicated in writing, the auditor shall retain a copy of the communication as part of the audit documentation.

Answer to the Question# 5(b)

The auditor must evaluate the effect of identified misstatements on the audit and evaluate the effect of uncorrected misstatements, if any, on the financial statements.

- Identified misstatements. The auditor will need to consider revising the overall plan if:
  - The misstatements identified indicate that other misstatements may exist, which when accumulated could be material, or
  - Accumulated misstatements approach the materiality level set for the audit.

Where management has corrected misstatements detected, the auditor shall perform additional procedures to determine whether misstatements remain.

- Communication and correction of misstatements:
  - The auditor shall inform management of all misstatements and request that they be corrected.
  - If management refuses, the auditor shall ascertain the reason and take this into account in the overall evaluation.
- Examining the effect of uncorrected misstatements
  - Reassess materiality
  - Determine whether uncorrected misstatements are material, whether individually or in aggregate.

  Materiality will depend on the nature of the misstatement and its impact on the financial statements. The auditor is required to inform those charged with government and to request that corrections be made.
- Written representations:

  The auditor shall request confirmation from management that the effect of uncorrected misstatements is immaterial.
- Documentation-Audit documentation shall include:
  - The amount below which misstatements are considered trivial.
  - All misstatements accumulated.
  - The auditor's conclusion regarding materiality of uncorrected misstatements.

  Certain circumstances may cause the auditor to deem misstatements material even if they are below the materiality level. These circumstances include:
  - Compliance with regulatory requirements
  - Masking a change in trends or affecting ratios
  - Increasing management compensation
  - Affecting other information in documents included with the audited financial statements.

Answer to the Question# 5(c)

As per IAS 37, a contingent liability is:

(a) a possible obligation that arises from past events and whose existence will be confirmed only by the occurrence or non- occurrence of one or more uncertain future events not wholly within the control of the entity; or
(b) a present obligation that arises from past events but is not recognised because:
    (i) it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation; or
    (ii) the amount of the obligation cannot be measured with sufficient reliability.

Unless the possibility of any outflow in settlement is remote, an entity shall disclose for each class of contingent liability at the end of the reporting period a brief description of the nature of the contingent liability and, where practicable:

(a) an estimate of its financial effect, measured under appropriate guidance provided in IAS 37;
(b) an indication of the uncertainties relating to the amount or timing of any outflow; and
(c) the possibility of any reimbursement

Answer to the Question# 6(a)

The procedures so required in the question above should include:

- Testing of journal entries to ensure they are appropriate. Particular attention might be necessary to the year end entries;
- Review of accounting estimates to judge whether management bias has been applied;
- Scrutinizing significant and unusual transactions;
- Review of audit logs maintained in the critical computer systems, particularly to the GL system. Habit of unusual use of such sensitive IDs might give rise to potential risk of modifying recorded numbers;
- Review of recent changes in the management structure as well as in the SoPs that unusually empower senior officials to some additional work.

Answer to the Question# 6(b)

If the group engagement team plans to request a component auditor to perform work on the financial information of a component, the group engagement team shall obtain an understanding of the following:

(i) Whether the component auditor understands and will comply with the ethical requirements that are relevant to the group audit and, in particular, is independent;
(ii) The component auditor's professional competence;
(iii) Whether the group engagement team will be able to be involved in the work of the component auditor to the extent necessary to obtain sufficient appropriate audit evidence;
(iv) Whether the component auditor operates in a regulatory environment that actively oversees auditors.

Answer to the Question# 6(c)

Key audit matters are those matters that, in the auditor's professional judgment, were of most significance in the audit of the financial statements [of the current period]

The auditor shall determine, from the matters communicated with those charged with governance, those matters that required significant auditor attention in performing the audit. In making this determination, the auditor shall take into account the following:

(i) Areas of higher assessed risk of material misstatement, or significant risks identified in accordance with ISA 315 (Revised).
(ii) Significant auditor judgments relating to areas in the financial statements that involved significant management judgment, including accounting estimates that have been identified as having high estimation uncertainty.
(iii) The effect on the audit of significant events or transactions that occurred during the period.

The auditor shall determine which of the matters determined in accordance with respective conditions of ISA-701 were of most significance in the audit of the financial statements of the current period and therefore are the key audit matters.

---The End---